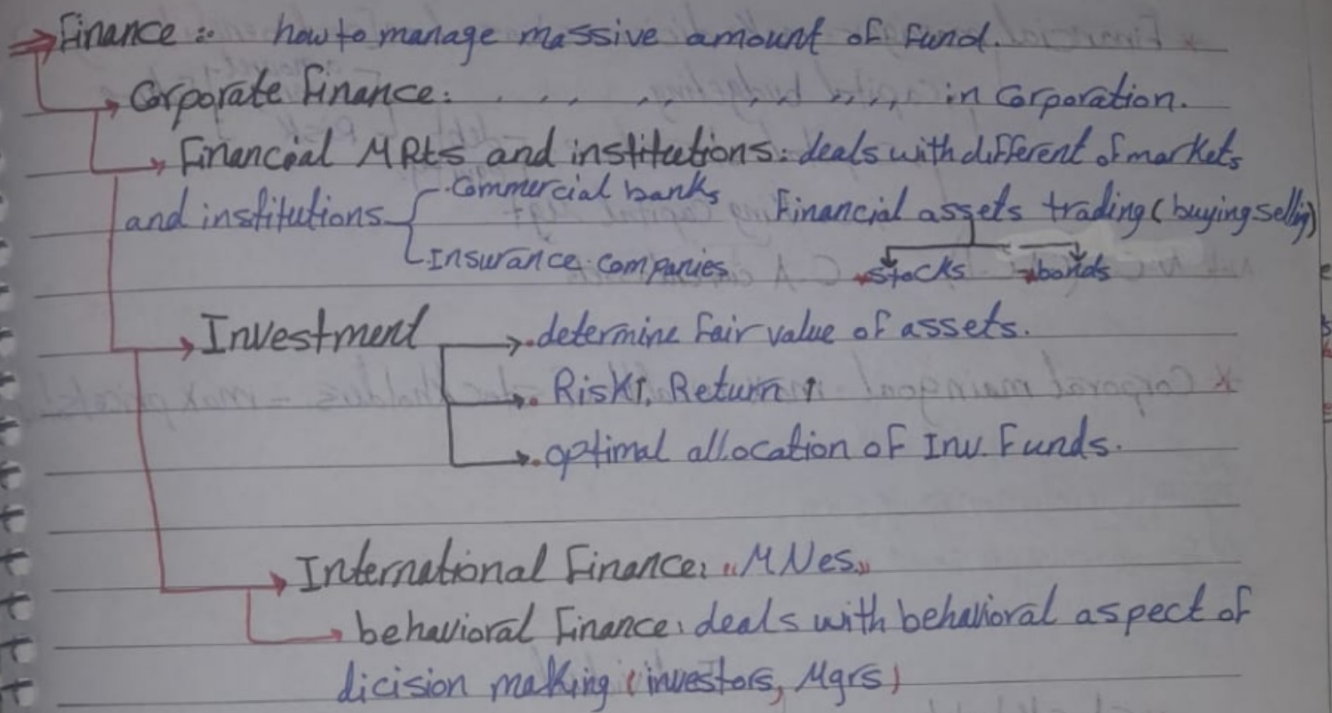


* Corporation: has the right to sue and be sued and to borrow using its own name and to buy, sold, and hold assets.

• separation between:

- 1- ownership
- 2- management

stock holders

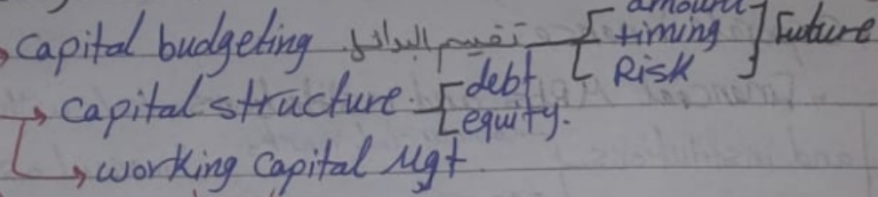
"dividends, Capital gains"

election → board of directors

Note: board of directors ⇒ approving strategic goals, plans. 2- major exp. production, marketing, HR

⇒ hiring CEO: ruling day to day action, hiring

* Financial manager: make decisions based on [cost benefit analysis]



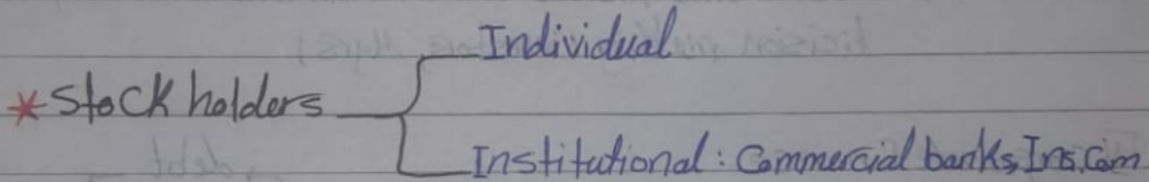
Note: $N.C.A = C.A - C.L$ C.A current assets

* Corporat main goal: max wealth of stockholders. = max price/share

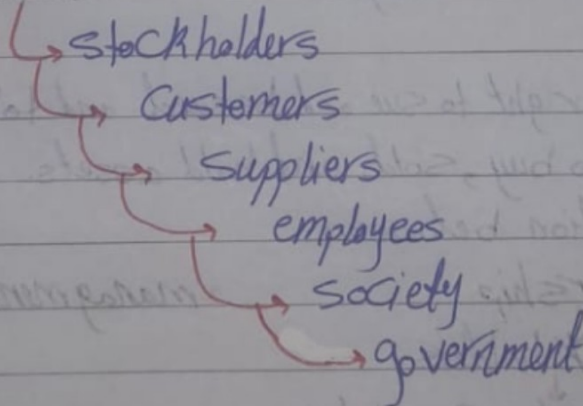
NI
equity (max profit (مربح))

NI
equity (return on equity (معدل))

NI
of Share (earning per share (معدل))



* Stakeholders:



* Corporate governance

* Agency relationships:

principal ^{hire} agent
"stockholders" "mgrs"

Conflict of interest.

1) stockholders vs managers.

mgrl compensation

threat of firing.

direct stockholders intervention.

threat of hostile takeover.

2) stockholders acting through mgrs vs creditors.

Cash bonus
performance share

earnings / share

EPS / Growth EPS

performance plan

price incentive plan

stock option